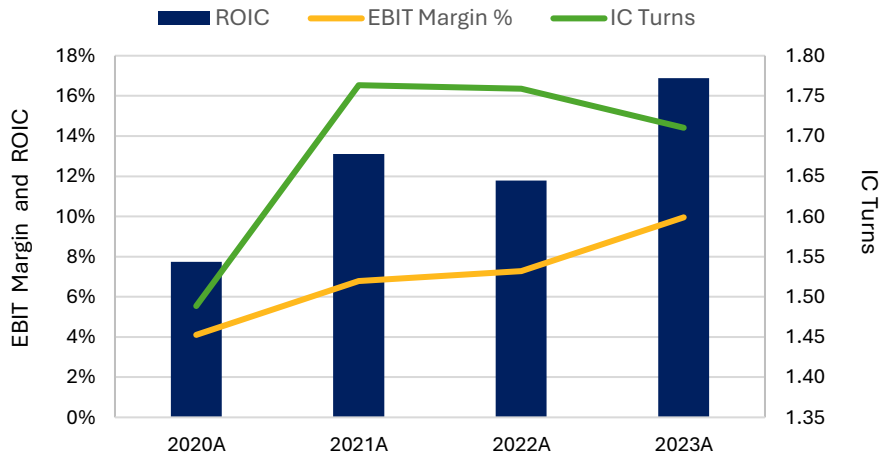
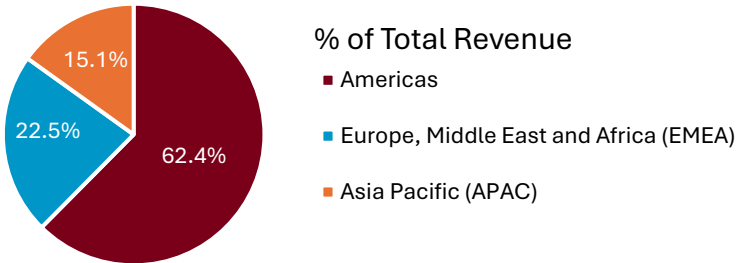
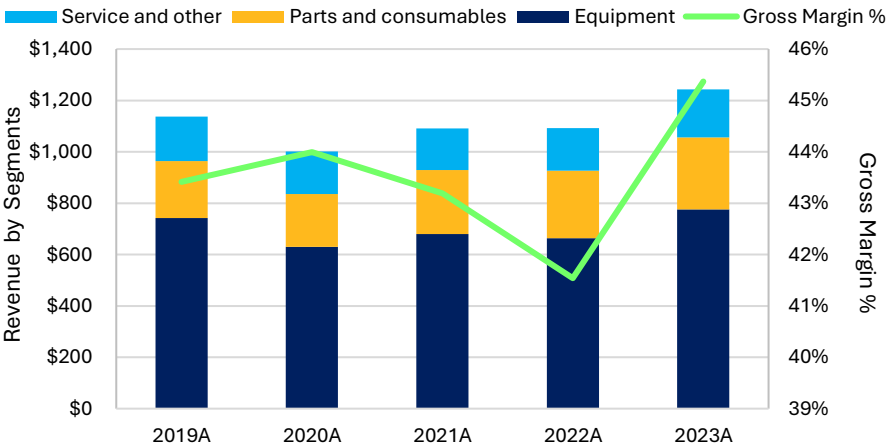


Company Overview:



- Tennant Company designs and manufactures **floor cleaning equipment**.
- Operates **11 global manufacturing locations**.
- Presence in **Americas, EMEA, and APAC** regions.
- Founded in 1870; headquartered in Eden Prairie, Minnesota.
- Serves over **40,000 customers worldwide**.
- Employee count: 4,457.
- **Revenue: \$1.24 billion** in FY 2023.
- **Product segments:** Equipment, Parts & Consumables and Services & Other.
- Addresses **~14% of the total global addressable market**.
- **Gross margin:** 45% (Improved ~200 BPS since 2019)
- **EBIT Margin:** 11.3% (improved ~500 BPs since 2019)
- **Investments:** Significant focus on R&D, strategic acquisitions, and partnerships
- **Innovation:** Advancing **Autonomous Mobile Robots (AMRs)** to meet rising demand.



Financial and Valuation Analysis:

Growth Prospects & Valuation Considerations:

- As of FY 2023, the company bolstered a strong balance sheet with a Net Debt to EBITDA ratio of 0.71x.
- The solid balance sheet, provides financial capacity for strategic acquisitions.
- In FY2021 and FY2022, margins were impacted by supply chain disruptions.
- The valuation reflects the strong demand AMR product line.
- Investments in R&D and a minority interest in a robotics company (Brian Corp) have created a competitive edge, **differentiating the product portfolio and driving favorable pricing and margin expansion opportunities.**

